

house went toward delinquent bills and repaying the firm. In the meantime they had accumulated another few thousand dollars in debts from miscellaneous sources.

Allen finally realized that their monthly obligations were beyond his income. So he approached the bank that held his new mortgage and asked about consolidating all of their outstanding bills into one loan. By that point, he needed about \$20,000 to consolidate everything. The banker was a client of Allen's firm and thought that he would be a good risk, but Allen lacked adequate collateral for a loan that size. After a great deal of negotiating, they found a way to make the loan by taking out a second mortgage on their home and assigning that year's bonus as additional collateral.

Since the monthly payments on a \$20,000 loan for three years would have been beyond Allen's income range, the banker set the payments based on a ten-year payoff, but with a balloon note to be paid in seven years (the maximum time the bank would grant for a second mortgage). It was further agreed that at least \$5,000 of each year's bonuses would be paid to the bank to reduce the note.

The first year everything went fine, or so it seemed. Allen earned a bonus of \$15,000. He paid \$5,000 on the note, put \$5,000 in savings, and paid nearly \$4,000 in taxes on the bonus. With the rest, he and Sherry took a vacation to a ski resort that winter.

Allen kept track of their accounts at home and repeatedly told Sherry not to worry about it, so Sherry didn't really have a clear idea of how they were doing month by month. But she began to see late notices coming from the bank and several credit card companies. Finally she asked Allen to sit down and tell her exactly where they were financially. He confessed that even he didn't really know. "It just seems like there is never enough money to pay everything we owe," he said. He agreed with Sherry that they needed to do something about their budget. But then he got busy on a new project, and they never got around to it.

As the late notices became more frequent, Sherry began to complain to Allen that he had to get some help in handling their